

SK hynix

LTA paves path for new valuation framework: raising PT to W3M, maintain OW

SKH shares have surged 201% YTD (vs. memory peers : +255% and SOX: +70%) likely owing to greater market confidence in 2027E memory earnings and the elongated memory upcycle. Amidst ongoing LTA discussions with CSP customers, we believe SKH is at a pivotal inflection point to drive structural changes to the traditional memory business model. Given our belief that the memory S-D imbalance is unlikely to ease anytime soon, we expect both memory makers and CSPs to strike LTAs, improving the quality of memory earnings and ultimately acting as a re-rating factor (refer to our [LTA deep dive report](#)). We raise FY26-28E EPS estimates by 9-20% to reflect stronger pricing outlook (DRAM, NAND and HBM) and raise our Dec-26 price target to W3M based on 8x FY26/27E EPS. We expect LTA to pave the path for memory companies to be valued using a new valuation framework.

- **Multiple re-rating in sight; switching from P/B to P/E.** We have greater confidence in memory's fundamental role in AI systems and broadening agentic AI demand and believe LTA will structurally reshape the quality of memory earnings (from "cyclical" to "secular"). Therefore, we believe a P/E valuation framework is well justified and use 8x FY26-27E EPS (vs. average FTM P/E 3x since 2024 and current 6x). After 5x EPS growth in FY26E, we forecast a 31% EPS CAGR through FY28. We expect the road to re-rating could be bumpy, but have greater confidence in memory earnings.
- **Strong cash generation and robust shareholder return profile.** We view a proactive shareholder return program as a pre-requisite for a re-rating and expect SKH management to use both dividends and share buyback/cancellation programs to meet investors' heightened expectations. SKH's official 25A-27E shareholder return policy includes: 1) TSR 50% of FCF payout (3 year cumulative basis); 2) a 25% fixed DPS hike; 3) mid-30% capital intensity target on trailing 3 year average; and 4) balance sheet improvement initiatives (minimum two years' gross capex equivalent cash position). We project W240trn of FCF to be distributed to investors via dividends and share buybacks/cancellation across 25-27E (W14trn in 25A, W66trn in 26E, and W160trn in 27E), which equates to a 5%/12% FY26E/27E TSR yield.
- **Key business assumption updates (pricing, capacity, and capex).** Strong server (AI broadening out to CPU) and mobile (LPDDR5X order competition between ARM-CPU server customers amid seasonal pickup) are driving higher pricing trends (low-to-mid 50% q-q increase) vs our initial estimates (low-40% q-q increase) and the ongoing labor strike at SEC is also positively influencing pricing sentiment, in our view. Increasing LTA mix is likely to support higher pricing stabilization with greater earnings visibility, and we expect the HBM ASP negotiation to work in favor of memory makers and assume ASP growth acceleration next year. Following a series of new greenfield capacity ramp plans (Y1-2/1-3 ramp in 28E with Y1-4/1-5 ramp in 29E), we raise our FY27-28E capex to W58-74trn; however, overall DRAM bit supply is likely to be limited at a 20% y-y increase for FY27-28E due to

Overweight

000660.KS, 000660 KS

Price (15 May 26):W1,797,500

▲ Price Target (Dec-26):W3,000,000

Prior (Dec-26):W1,800,000

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (W)	288,911	316,147	9.4%
Adj. EPS - 27E (W)	378,503	433,828	14.6%

Quarterly Forecasts (FYE Dec)

Adj. EPS (W)	2025A	2026E	2027E
Q1	11,136	56,603A	97,854
Q2	9,609	76,447	107,375
Q3	17,302	87,648	112,376
Q4	20,940	95,044	116,036
FY	58,987	316,147	433,828

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	5	30	16	97	29
Growth	16	85	94	84	28
Momentum	1	7	43	100	12
Quality	16	22	23	89	54
Low Vol	77	73	71	33	25
ESGQ	13	94	96	20	12

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 13 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	175.7%	58.0%	102.9%	796.5%
Rel	97.9%	34.9%	66.8%	610.7%

Company Data

Shares O/S (mn)	713
52-week range (W)	2,021,000-196,500
Market cap (\$ mn)	858,517
Exchange rate	1,492.20
Free float (%)	67.5%
3M ADV (mn)	8.03
3M ADV (\$ mn)	6,195.9
Volatility (90 Day)	89
Index	KOSPI
BBG ANR (Buy Hold Sell)	47 1 0

Key Metrics (FYE Dec)

W in billions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	97,147	347,547	490,631	597,583
Adj. EBIT	47,206	275,573	393,141	469,691
Adj. EBITDA	61,136	293,139	418,904	508,200
Adj. net income	42,948	227,747	312,303	375,614
Adj. EPS	58,987	316,147	433,828	539,093
BBG EPS	57,229	273,207	373,211	413,647
Cashflow from operations	59,989	198,715	313,314	388,326
FCFF	29,079	153,881	250,373	306,109
Margins and Growth				
Revenue Growth Y/Y (%)	46.8%	257.8%	41.2%	21.8%
EBIT margin	48.6%	79.3%	80.1%	78.6%
EBIT Growth Y/Y (%)	101.2%	483.8%	42.7%	19.5%
EBITDA margin	62.9%	84.3%	85.4%	85.0%
EBITDA Growth Y/Y (%)	69.6%	379.5%	42.9%	21.3%
Net margin	44.2%	65.5%	63.7%	62.9%
Adj. EPS growth	116.9%	436.0%	37.2%	24.3%
Ratios				
Adj. tax rate	14.9%	22.4%	22.5%	22.5%
Interest cover	142.4	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	44.1%	90.8%	59.1%	46.9%
Valuation				
FCFF yield	2.2%	11.9%	19.3%	24.4%
Dividend yield	0.2%	2.1%	5.4%	4.2%
EV/Revenue	14.2	3.4	2.0	1.3
EV/EBITDA	22.6	4.1	2.3	1.5
Adj. P/E	30.5	5.7	4.1	3.3

Summary Investment Thesis and Valuation

Investment Thesis

Our OW rating on SK hynix is based on the company's solid AI solution execution capability, which has substantially improved its earnings generation capability. We believe we are in the early stages of a memory up-cycle, and improving conventional fundamentals put SKH in a positive position, as the pure memory business carries a higher beta.

Valuation

Our Dec-26 PT of W3M is based on 8x average FY26-27E EPS to reflect a stronger and longer memory upcycle, which we think provides durability and sustainability to SKH's substantially improved earnings capability over the next three years.

Performance Drivers

Market	36%
Region	22%
Macro	2%
Style	4%
Idiosyn.	36%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.79	0.59
Region: Korea	0.36	0.59
Macro:		
HSI Volatility Index	0.26	0.34
US 10 Year Yield	0.04	0.22
Markit EM Composite PMI SA	-0.28	-0.19
Quant Styles:		
Quality	0.21	0.15
Momentum	0.24	0.14
LowVol	-0.18	-0.09

HBM mix increase and higher HBM wafer die penalty.

- **Key catalysts and risks:** EPS upgrades continue to be a strong share price driver in the near-term (next 3 months) and we expect the key industry narrative will be about assessing confidence in the multiple re-rating framework. LTA volume mix growth alongside term disclosure and shareholder return initiatives will be key catalysts. From a top-down perspective, CSP and leading AI foundation model players' AI monetization progress remains critical as investors continue to worry about the disconnect between AI capex race and the semiconductor ecosystem's earnings power. Key risk factors include: 1) stalling LTA negotiations and progress updates; 2) AI demand slowdown due to macro and geopolitical tension risks; 3) technology breakthrough that requires less memory in an AI rack; and 4) significant change in memory supply equations leading to an oversupply.

Earnings estimate revisions

Table 1: SK hynix – earnings estimate revisions

Won in billions, year-end December

	Revised			Prior			Difference		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
DRAM Shipments (8Gb equiv.)	13,224	15,853	19,024	13,224	15,866	19,024	0.0	-0.1	0.0
ASP (US\$, 8Gb equiv.)	13.9	17.1	17.8	12.8	14.9	15.4	8.7	14.4	15.7
NAND shipments (256Gb equiv.)	6,275	7,494	8,858	6,275	7,494	8,858	0.0	0.0	0.0
ASP (US\$, 256Gb equiv.)	8.9	10.5	9.7	8.5	9.8	9.0	5.5	6.8	7.9
Sales	347,547	490,631	597,583	321,554	436,252	524,317	8.1	12.5	14.0
DRAM sales	265,079	379,390	475,128	243,447	332,006	410,752	8.9	14.3	15.7
NAND (Inc. MCP) sales	82,468	111,241	122,454	78,107	104,245	113,565	5.6	6.7	7.8
Operating profit	275,573	393,141	469,691	251,721	343,614	403,034	9.5	14.4	16.5
OP margin, %	79.3	80.1	78.6	78.3	78.8	76.9	1.0	1.4	1.7
DRAM OP	217,640	311,887	384,648	198,316	268,565	325,669	9.7	16.1	18.1
NAND+MCP OP	57,933	81,254	85,043	53,405	75,049	77,365	8.5	8.3	9.9
Net Income	227,732	312,303	375,614	210,338	275,584	326,887	8.3	13.3	14.9
EPS (Won)	316,147	433,828	539,093	288,911	378,503	448,966	9.4	14.6	20.1

Source: J.P. Morgan estimates.

Table 2: SK hynix – J.P. Morgan estimates vs Street consensus

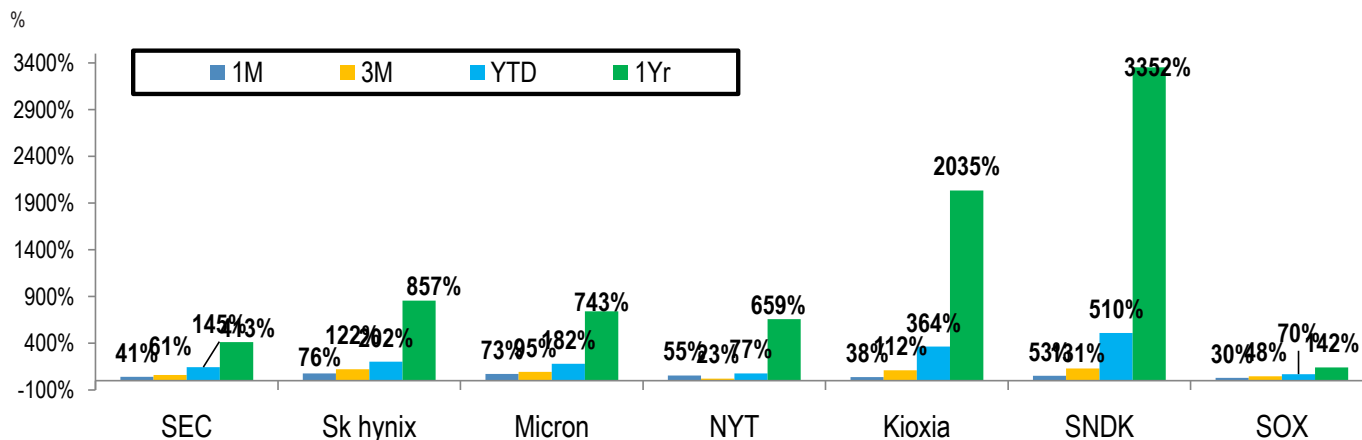
Won in billions, year-end December

	JPM estimates				Market consensus				Difference			
	2Q26E	3Q26E	2026E	2027E	2Q26E	3Q26E	2026E	2027E	2Q26E	3Q26E	2026E	2027E
Sales	88,136	99,103	347,547	490,631	80,021	93,465	326,215	454,502	10%	6%	7%	8%
OP	70,136	80,263	275,573	393,141	61,390	72,604	248,772	347,635	14%	11%	11%	13%
NP	55,072	63,137	227,732	312,303	46,831	55,852	203,445	275,161	18%	13%	12%	13%

Source: Bloomberg Finance L.P., J.P. Morgan estimates. Note: Market consensus based on the last 28 days' Bloomberg estimates.

Share price related charts

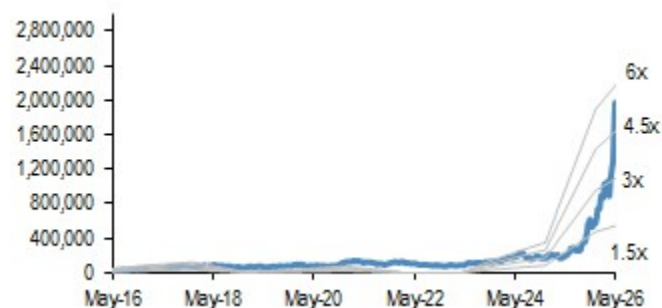
Figure 1: Share price performance vs memory peers



Source: Bloomberg Finance L.P.

Figure 2: SK hynix – 12M forward P/E bands

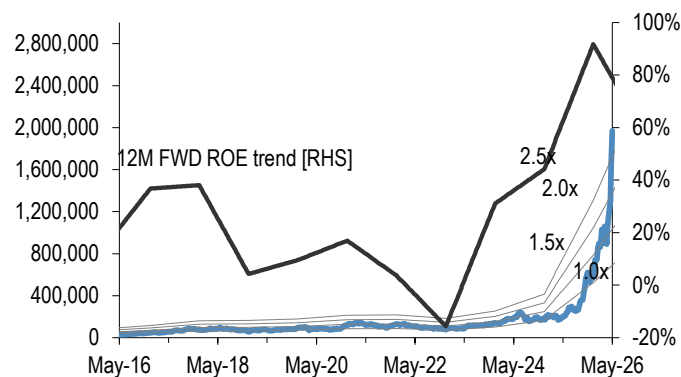
Won, x, %



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 3: SK hynix – 12M forward P/B bands and ROE trend

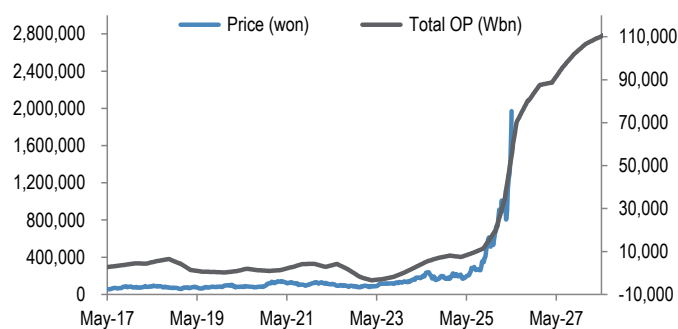
Won, x



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 4: SKH share price vs quarterly OP trend

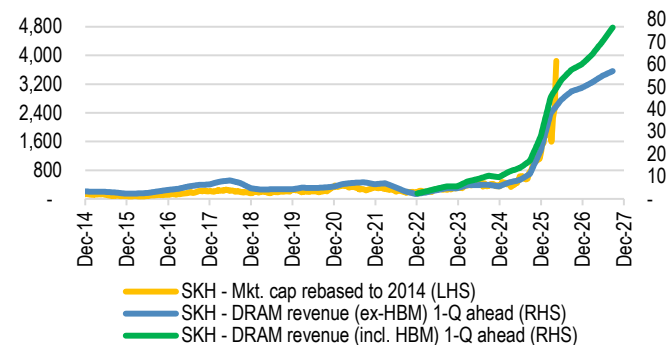
Won, Wbn - RHS



Source: Company data, J.P. Morgan estimates, Bloomberg Finance L.P. Note: 2Q26 onwards are J.P. Morgan estimates

Figure 5: SKH market cap vs DRAM revenue comparison (1Q ahead)

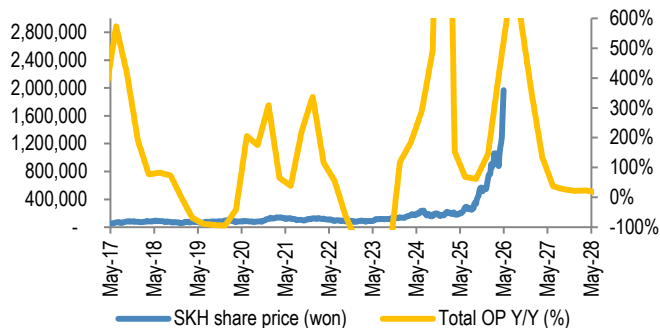
Rebased as of 1/1/2014, US\$bn - RHS



Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: 2Q26 onwards are J.P. Morgan estimates.

Figure 6: Share price vs total OP Y/Y trend

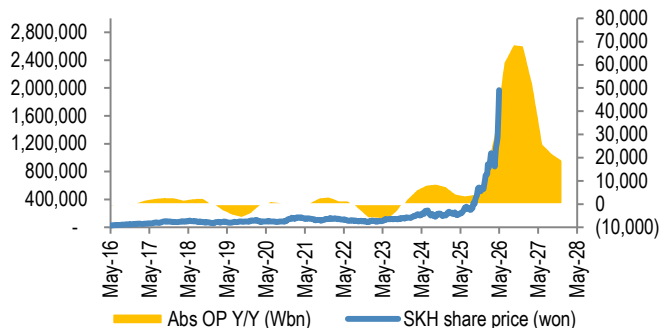
Won, % - RHS



Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: 2Q26 onwards are JPM OP estimates.

Figure 7: Share price vs absolute total OP Y/Y trend

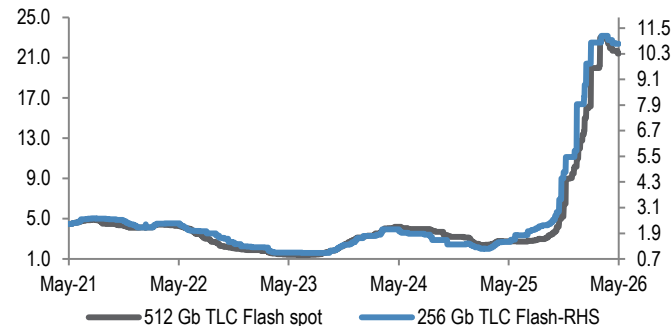
Won, Wbn - RHS



Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: 2Q26 onwards are JPM OP estimates.

Figure 8: NAND spot price trend

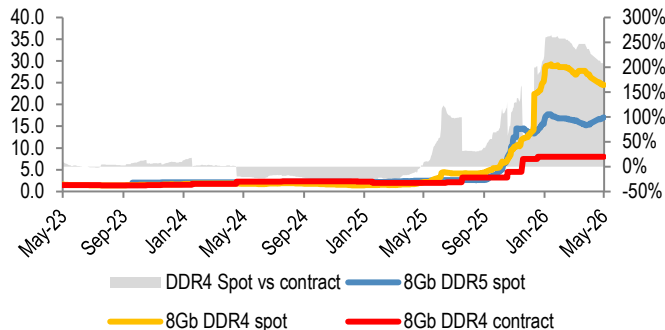
US\$



Source: Bloomberg Finance L.P.

Figure 9: 8Gb DDR4 spot vs contract price trend

US\$/8Gb, % - RHS



Source: Bloomberg Finance L.P.

Key business charts and tables

Table 3: SK hynix: Key assumptions for DRAM business

Units in 8Gb eq., W in billions; year-end Dec

US\$ millions, US\$, 8Gb equiv, K/month	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2024	2025	2026E	2027E	2028E
ASP (US\$)	4.3	4.4	4.6	5.6	9.1	14.0	15.4	16.3	16.5	17.0	17.3	17.6	3.7	4.8	13.9	17.1	17.8
Seq. change, %	0.7	1.5	4.3	23.1	62.5	53.2	10.3	5.6	1.1	3.0	1.6	1.7	79.1	30.1	191.8	23.2	4.4
Operating cost (US\$)	2.1	2.0	1.9	1.8	2.1	2.5	2.5	2.7	3.0	3.0	3.0	3.2	2.0	1.9	2.5	3.0	3.4
Cash Cost (US\$)	1.5	1.5	1.4	1.3	1.6	1.9	1.9	2.0	2.2	2.1	2.1	2.2	1.5	1.4	1.8	2.1	2.2
Cost change, %	-5%	-4%	-4%	-3%	16%	16%	3%	7%	10%	-1%	1%	5%	-1%	-4%	28%	23%	12%
Cash cost chg. %	-10%	-1%	-5%	-5%	19%	18%	0%	6%	9%	-4%	0%	5%	7%	-3%	30%	15%	4%
Shipments (mn)	2,242	2,795	3,013	3,028	3,014	3,249	3,427	3,534	3,642	3,790	4,065	4,356	8,933	11,077	13,224	15,853	19,024
Seq. change, %	-7.1	24.7	7.8	0.5	-0.4	7.8	5.5	3.1	3.1	4.1	7.3	7.1	16.0	24.0	19.4	19.9	20.0
Sales	14,037	17,124	19,084	24,659	40,195	66,835	75,646	82,402	84,025	90,089	98,233	#####	44,732	74,904	265,079	379,390	475,128
OP	7,337	9,378	11,124	16,574	30,806	55,063	63,177	68,595	68,727	74,288	81,082	87,790	20,259	44,413	217,640	311,887	384,648
OP margin (%)	52	55	58	67	77	82	84	83	82	82	83	82	45	59	82	82	81
Revenue per wafer (US\$)	8,829	11,023	12,071	14,546	22,659	36,084	39,625	41,757	49,397	51,071	52,559	55,406	8,035	11,669	35,285	52,214	65,391
HBM Sales (US\$M)	4,093	4,871	5,367	5,855	6,255	7,221	8,726	9,619	10,513	12,401	15,267	19,450	9,232	20,186	31,821	57,632	102,902
HBM Sales mix (%)	29	28	28	24	16	11	12	12	13	14	16	18	21	27	12	15	22
HBM bit shipment (mn)	311	354	380	423	445	500	540	546	594	620	706	829	726	1,468	2,031	2,749	4,157
HBM bit mix (%)	14	13	13	14	15	15	16	15	16	16	17	19	8	13	15	17	22
HBM ASP (US\$)	1.6	1.7	1.8	1.7	1.8	1.8	2.0	2.2	2.2	2.5	2.7	2.9	1.6	1.7	2.0	2.6	3.1
HBM ASP premium (%) vs. non-HBM	5	5	4	3	2	1	1	1	1	1	1	1	4	4	1	1	2
HBM capacity (TSV equivalent, K/month)	145	155	160	170	180	200	220	220	230	240	275	300	99	158	205	261	335

Source: Company data, J.P. Morgan estimates

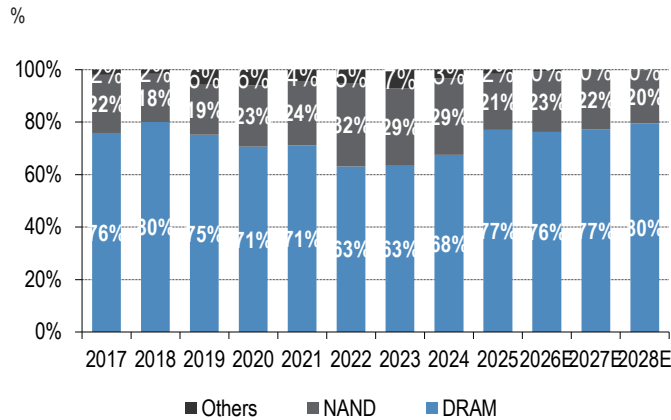
Table 4: SK hynix – Key assumptions in the NAND business

Units in 256Gb. equivalent, Won in billions, year-end December

64Gb equiv.	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2024	2025	2026E	2027E	2028E
ASP US\$ (64Gb equiv.)	0.7	0.6	0.6	0.9	1.5	2.3	2.4	2.6	2.7	2.8	2.6	2.4	0.7	0.7	2.2	2.6	2.4
Q/Q ASP, %	-19.5	-10.4	11.0	33.4	72.5	52.0	8.0	6.0	3.0	3.0	-5.0	-7.0	96.4	-6.6	221.2	17.1	-6.8
Operating cost (US\$)	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.7	0.7	0.7	0.6	0.6	0.6	0.7	0.7
Cash Cost (US\$)	0.4	0.5	0.5	0.4	0.5	0.5	0.5	0.5	0.5	0.6	0.6	0.6	0.4	0.4	0.5	0.6	0.6
Cost change, %	-2%	-4%	2%	-7%	12%	-2%	0%	-2%	3%	3%	3%	7%	-11%	-3%	5%	7%	7%
Cash cost chg. %	-14%	19%	1%	-1%	13%	0%	0%	4%	3%	4%	3%	8%	-7%	4%	16%	12%	6%
Shipments (64Gb equiv.)	3,415	5,789	5,554	6,187	5,507	6,277	6,591	6,723	6,992	7,412	7,708	7,862	18,995	20,945	25,099	29,974	35,432
Q/Q or Y/Y change, %	-17.6	69.5	-4.1	11.4	-11.0	14.0	5.0	2.0	4.0	6.0	4.0	2.0	-1.8	10.3	19.8	19.4	18.2
Sales	3,229	4,728	4,989	7,744	11,980	20,901	23,057	24,929	26,144	28,544	28,201	26,752	19,274	20,690	80,867	109,641	120,854
OP	81	-189	234	2,579	6,781	15,049	17,062	18,946	19,869	21,693	20,869	18,726	3,115	2,705	57,838	81,158	84,947
OP margin (%)	3	-4	5	33	57	72	74	76	76	76	74	70	16	13	72	74	70
Revenue per wafer (US\$)	2,648	4,022	4,283	6,363	9,768	16,927	19,195	20,753	22,231	24,272	23,981	22,748	4,204	4,331	16,627	23,308	25,692

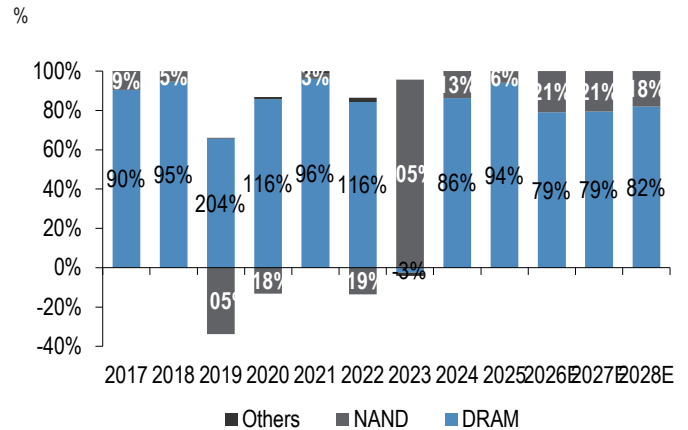
Source: Company data, J.P. Morgan estimates.

Figure 10: SK hynix – Revenue breakdown



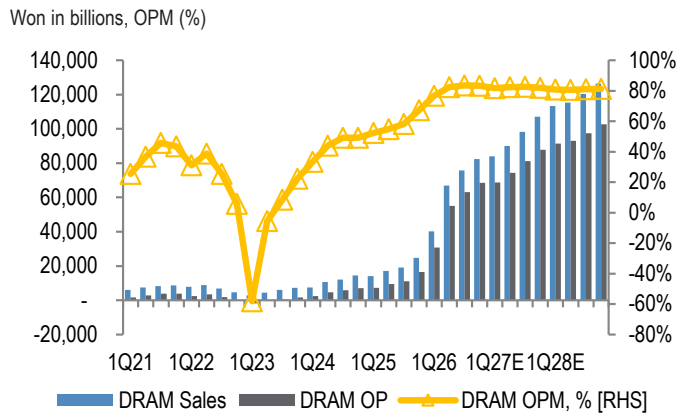
Source: Company data, J.P. Morgan estimates.

Figure 11: SK hynix – Operating profit contribution



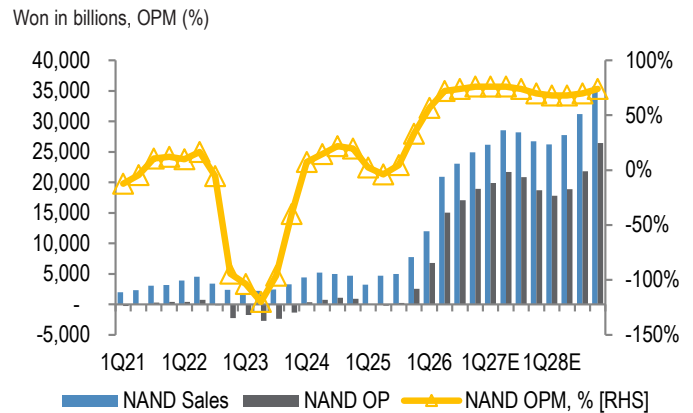
Source: Company data, J.P. Morgan estimates. Note: Negative earnings in FY23.

Figure 12: SK hynix – DRAM quarterly sales/OP/OPM trend



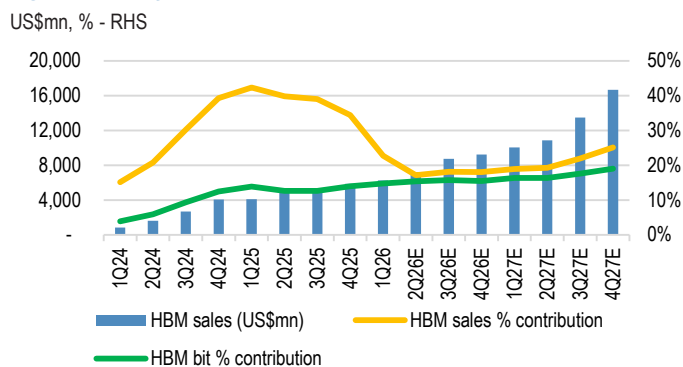
Source: Company data, J.P. Morgan estimates.

Figure 13: SK hynix – NAND quarterly sales/OP/OPM trend



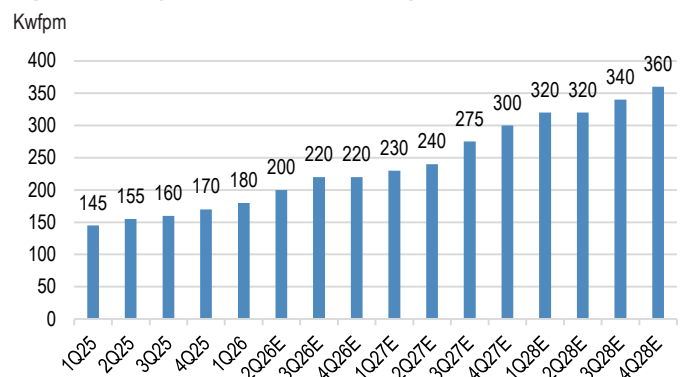
Source: Company data, J.P. Morgan estimates.

Figure 14: SK hynix HBM sales/bit % contribution to DRAM



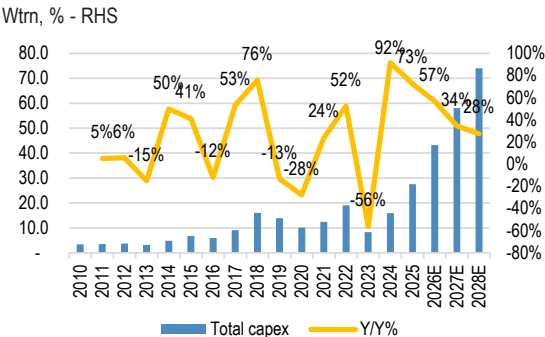
Source: Company data, J.P. Morgan estimates.

Figure 15: SK hynix HBM backend capacity trend



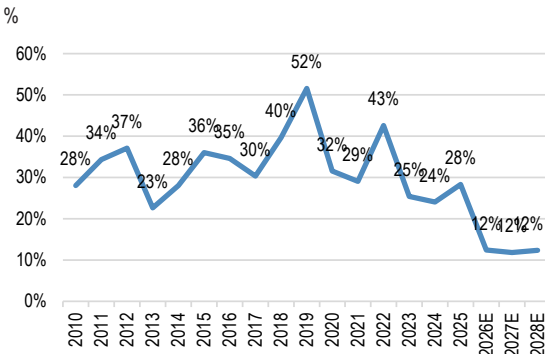
Source: Company data, J.P. Morgan estimates.

Figure 16: SKH – total capex and Y/Y% trend



Source: Company data, J.P. Morgan estimates. Note: Capital intensity = capex / sales

Figure 17: SKH – Capital intensity



Source: Company data, J.P. Morgan estimates. ; Note: Capital intensity = capex/sales

Table 5: SKH: Earnings model

Won in billions

(W in billion)	2025				2026E				2027E				2024	2025	2026E	2027E	2028E
	1Q	2Q	3Q	4Q	1Q	2QE	3QE	4QE	1QE	2QE	3QE	4QE					
Revenue	17,639	22,232	24,449	32,827	52,576	88,136	99,103	107,732	110,568	119,033	126,834	134,196	66,193	97,147	347,547	490,631	597,583
DRAM	14,037	17,124	19,084	24,659	40,195	66,835	75,646	82,402	84,025	90,089	98,233	107,044	44,732	74,904	265,079	379,390	475,128
NAND Flash	3,229	4,728	4,989	7,744	11,980	20,901	23,057	24,929	26,144	28,544	28,201	26,752	19,274	20,690	80,867	109,641	120,854
Others	373	380	376	423	401	400	400	400	400	400	400	400	2,187	1,552	1,601	1,600	1,600
Depreciation	-3,124	-3,249	-3,360	-3,366	-3,520	-4,001	-4,518	-4,666	-5,236	-5,848	-6,504	-7,206	-12,582	-13,930	-17,566	-25,763	-38,510
COGS	7,537	10,249	10,420	10,250	10,897	11,831	11,903	11,548	13,545	13,981	15,220	17,457	-34,365	-38,456	-46,180	-60,202	-81,280
Gross Profit	10,102	11,983	14,029	22,576	41,679	76,305	87,200	96,183	97,023	105,052	111,614	116,740	31,828	58,691	301,368	430,429	516,302
SG&A Expenses	2,661	2,770	2,646	3,407	4,069	6,170	6,937	8,619	8,403	9,046	9,639	10,199	8,361	11,484	25,794	37,288	46,611
% of Revenue (%)	15	12	11	10	8	7	7	8	8	8	8	8	13	12	7	8	8
EBIT	7,441	9,213	11,383	19,170	37,610	70,136	80,263	87,565	88,620	96,005	101,975	106,541	23,467	47,206	275,573	393,141	469,691
DRAM	7,337	9,378	11,124	16,574	30,806	55,063	63,177	68,595	68,727	74,288	81,082	87,790	20,259	44,413	217,640	311,887	384,648
Margin (%)	52	55	58	67	77	82	84	83	82	82	83	82	45	59	82	82	81
Flash/SRAM	81	-189	234	2,579	6,781	15,049	17,062	18,946	19,869	21,693	20,869	18,726	3,115	2,705	57,838	81,158	84,947
Margin (%)	3	-4	5	33	57	72	74	76	76	76	74	70	16	13	72	74	70
Others	23	24	25	16	23	24	24	24	24	24	24	24	94	88	95	96	96
Margin (%)	6	6	7	4	6	6	6	6	6	6	6	6	4	6	6	6	6
Net Interest Income	-126	-129	-103	-72	22	93	264	688	981	947	1,281	1,915	-1,000	-429	1,067	5,124	9,197
Net Other Income	1,985	-361	3,510	-1,445	13,985	831	941	1,027	1,056	1,140	1,218	1,292	1,418	3,689	16,785	4,706	5,776
Pre Tax Profit	9,299	8,723	14,790	17,653	51,617	71,061	81,468	89,280	90,657	98,092	104,474	109,748	23,885	50,466	293,425	402,971	484,663
Tax	1,191	1,726	2,193	2,407	11,271	15,989	18,330	20,088	20,398	22,071	23,507	24,693	4,088	7,518	65,678	90,669	109,049
Extraordinary gain(loss)	-	1	-2.34	-26.17	-15.73	-	-	-	-	-	-	-	0	-28	-16	0	0
Net Profit	8,108	6,997	12,595	15,220	40,330	55,072	63,137	69,192	70,259	76,021	80,967	85,055	19,797	42,920	227,732	312,303	375,614
EPS (W)	11,136	9,610	17,299	20,904	56,581	76,447	87,648	95,044	97,854	107,375	112,376	116,036	27,190	58,987	316,147	433,828	539,093
Margins (%)																	
Gross Margin	57	54	57	69	79	87	88	89	88	88	88	87	48	60	87	88	86
Operating Margin	42	41	47	58	72	80	81	81	80	81	80	79	35	49	79	80	79
EBITDA Margin	60	56	60	69	78	84	86	86	85	86	86	85	54	63	84	85	85
Net Margin	46	31	52	46	77	62	64	64	64	64	64	63	30	44	66	64	63
Sequential Growth (%)																	
Revenue	-11	26	10	34	60	68	12	9	3	8	7	6	102	47	258	41	22
Gross Profit	-3	19	17	61	85	83	14	10	1	8	6	5	na	84	413	43	20
EBIT	-8	24	24	68	96	86	14	9	1	8	6	4	na	101	484	43	19
Net Profit	1	-14	80	21	165	37	15	10	2	8	7	5	na	117	431	37	20
EPS	1	-14	80	21	171	35	15	8	3	10	5	3	na	117	436	37	24
EBITDA	10,565	12,462	14,744	22,536	41,130	74,137	84,780	92,230	93,855	101,853	108,479	113,747	35,453	60,306	292,277	417,935	507,111
CAPEX	-6,284	-4,332	-5,032	-11,871	-7,657	-10,500	-12,000	-13,000	-13,000	-14,000	-15,000	-16,000	-15,946	-27,519	-43,157	-58,000	-74,000

Source: Company data, J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

SK hynix (*Overweight; Price Target: W3,000,000*)

Investment Thesis

Our OW rating on SK hynix is based on the company's solid AI solution execution capability, which has substantially improved its earnings generation capability. We believe we are in the early stages of a memory up-cycle, and improving conventional fundamentals put SKH in a positive position, as the pure memory business carries a higher beta.

Valuation

Our Dec-26 PT of W3M is based on 8x average FY26-27E EPS to reflect a stronger and longer memory upcycle, which we think provides durability and sustainability to SKH's substantially improved earnings capability over the next three years.

Risks to Rating and Price Target

Key downside risks include lower-than-expected DRAM prices and margins, and uncertainty around end demand/inventories.

Key upside catalysts include further DRAM ASP rallies, led by stronger-than-expected demand.

SK hynix: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	66,193	97,147	347,547	490,631	597,583	Cash flow from operating activities	34,366	59,989	198,715	313,314	388,326
COGS	(21,783)	(24,526)	(28,614)	(34,439)	(42,771)	o/w Depreciation & amortization	12,582	13,930	17,566	25,763	38,510
Gross profit	31,828	58,691	301,368	430,429	516,302	o/w Changes in working capital	1,987	3,111	(46,598)	(24,752)	(25,797)
SG&A	(257)	(484)	(460)	(460)	(460)	Cash flow from investing activities	(20,296)	(43,003)	(49,555)	(58,969)	(75,090)
Adj. EBITDA	36,049	61,136	293,139	418,904	508,200	o/w Capital expenditure	(20,034)	(31,275)	(44,005)	(58,969)	(75,090)
D&A	(12,582)	(13,930)	(17,566)	(25,763)	(38,510)	as % of sales	30.3%	32.2%	12.7%	12.0%	12.6%
Adj. EBIT	23,467	47,206	275,573	393,141	469,691	Cash flow from financing activities	(8,834)	3,801	28,926	(17,669)	(126,856)
Net Interest	(1,000)	(429)	1,067	5,124	9,197	o/w Dividends paid	(826)	(1,036)	(2,107)	(26,677)	(67,509)
Adj. PBT	23,885	50,466	293,425	402,971	484,663	o/w Shares issued/(repurchased)	1,711	5,454	1,622	26	(154)
Tax	(4,088)	(7,518)	(65,678)	(90,669)	(109,049)	o/w Net debt issued/(repaid)	(6,785)	(436)	(3,871)	(1,129)	(1,000)
Minority Interest	-	-	-	-	-	Net change in cash	5,235	20,786	178,086	236,676	186,381
Adj. Net Income	19,797	42,948	227,747	312,303	375,614	Adj. Free cash flow to firm	15,161	29,079	153,881	250,373	306,109
Reported EPS	27,190	58,987	316,147	433,828	539,093	y/y Growth	-2695.7%	91.8%	429.2%	62.7%	22.3%
Adj. EPS	27,190	58,987	316,147	433,828	539,093						
DPS	2,204	3,000	38,000	96,192	75,000						
Payout ratio	8.1%	5.1%	12.0%	22.2%	13.9%						
Shares outstanding	728	728	720	720	697						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	14,156	34,942	213,028	449,704	636,085	Gross margin	48.1%	60.4%	86.7%	87.7%	86.4%
Accounts receivable	13,019	18,199	69,274	86,292	104,421	EBITDA margin	54.5%	62.9%	84.3%	85.4%	85.0%
Inventories	13,314	14,289	32,732	40,772	49,338	EBIT margin	35.5%	48.6%	79.3%	80.1%	78.6%
Other current assets	1,790	2,027	4,743	5,659	6,571	Net profit margin	29.9%	44.2%	65.5%	63.7%	62.9%
Current assets	42,279	69,458	319,777	582,428	796,415	ROE	31.1%	44.1%	90.8%	59.1%	46.9%
PP&E	60,157	77,503	103,942	137,148	173,728	ROA	18.0%	29.0%	71.8%	51.5%	42.7%
LT investments	13,400	25,097	30,645	30,645	30,645	ROCE	21.7%	33.5%	78.9%	55.8%	44.5%
Other non current assets	4,019	4,049	4,051	4,051	4,051	SG&A/Sales	0.4%	0.5%	0.1%	0.1%	0.1%
Total assets	119,855	176,108	458,416	754,272	1,004,840	Net debt/Equity	0.1	NM	NM	NM	NM
Short term borrowings	5,252	8,162	5,889	5,885	5,881	Net debt/EBITDA	0.2	NM	NM	NM	NM
Payables	2,277	2,848	2,370	3,121	2,605	Sales/Assets (x)	0.6	0.7	1.1	0.8	0.7
Other short term liabilities	17,436	26,369	52,482	52,953	55,278	Assets/Equity (x)	1.7	1.5	1.3	1.1	1.1
Current liabilities	24,965	37,379	60,741	61,960	63,765	Interest cover (x)	36.0	142.4	NM	NM	NM
Long-term debt	17,431	14,086	12,488	11,363	10,366	Operating leverage	-395.6%	216.3%	187.7%	103.6%	89.3%
Other long term liabilities	3,543	3,976	4,245	4,595	4,973	Tax rate	17.1%	14.9%	22.4%	22.5%	22.5%
Total liabilities	45,940	55,441	77,474	77,917	79,105	Revenue y/y Growth	102.0%	46.8%	257.8%	41.2%	21.8%
Shareholders' equity	73,916	120,667	380,942	676,355	925,735	EBITDA y/y Growth	506.5%	69.6%	379.5%	42.9%	21.3%
Minority interests	-	-	-	-	-	EPS y/y Growth	-316.7%	116.9%	436.0%	37.2%	24.3%
Total liabilities & equity	119,855	176,108	458,416	754,272	1,004,840						
BVPS	101,520	165,731	523,207	955,301	1,355,391						
y/y Growth	38.2%	63.2%	215.7%	82.6%	41.9%						
Net debt/(cash)	8,527	(12,694)	(194,651)	(432,456)	(619,837)						
Valuation							FY24A	FY25A	FY26E	FY27E	FY28E
						P/E (x)	66.1	30.5	5.7	4.1	3.3
						P/BV (x)	17.7	10.8	3.4	1.9	1.3
						EV/EBITDA (x)	38.9	22.6	4.1	2.3	1.5
						Dividend Yield	0.1%	0.2%	2.1%	5.4%	4.2%

Source: Company reports and J.P. Morgan estimates.

Note: W in billions (except per-share data). Fiscal year ends Dec. o/w - out of which

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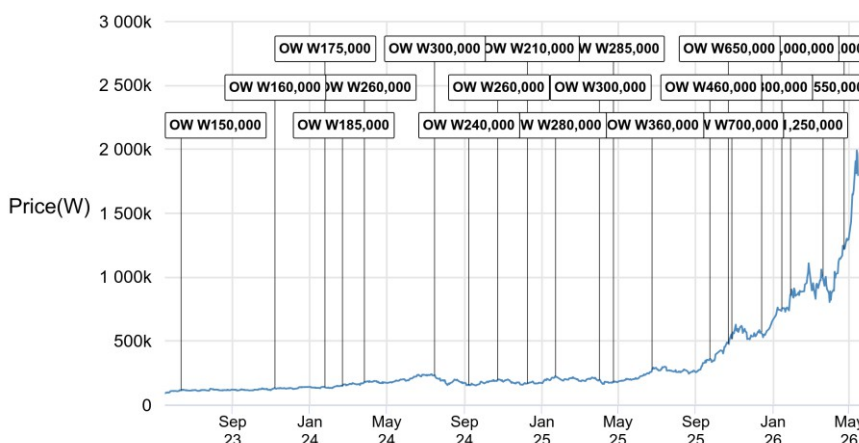
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SK hynix (000660.KS, 000660 KS) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 31, 2000. All share prices are as of market close on the previous business day.

Date	Rating	Price (W)	Price Target (W)
12-Jun-23	OW	115400	150,000
07-Nov-23	OW	133000	160,000
25-Jan-24	OW	141500	175,000
22-Feb-24	OW	149000	185,000
28-Mar-24	OW	181200	260,000
16-Jul-24	OW	230000	300,000
08-Sep-24	OW	156400	240,000
24-Oct-24	OW	196000	260,000
10-Dec-24	OW	168900	210,000
23-Jan-25	OW	225500	280,000
03-Apr-25	OW	197900	300,000
24-Apr-25	OW	181000	285,000
25-Jun-25	OW	278500	360,000
24-Sep-25	OW	361000	460,000
23-Oct-25	OW	481000	650,000
29-Oct-25	OW	519000	700,000
14-Dec-25	OW	571000	800,000
16-Jan-26	OW	756000	1,000,000
29-Jan-26	OW	862000	1,250,000
22-Mar-26	OW	1006000	1,550,000
23-Apr-26	OW	1220000	1,800,000

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IB clients**	83%	79%	74%
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